



JOHN C. BOGLE

1929–

Until his heart transplant in 1996, John C. Bogle ran a mutual fund company whose total assets were second only to Fidelity's. Bogle founded The Vanguard Group, Inc., in 1974. Its assets grew to over \$100 billion in the next 20 years and were well over \$200 billion in 1998. Keeping down costs was one of the keys to Bogle's success. For example, the cost of the average Vanguard fund has been less than one-third of the industry average. One reason is that Bogle and his company espouse index funds, which they have successfully run at about one-fifth of the average cost. Besides relying heavily on computers to handle analysis and transactions, Bogle has kept costs low in other ways. The office lights are controlled by motion detectors, there are no fancy amenities like private dining rooms, and no one is allowed to fly first class.

Bogle, whose grandfather had founded American Can, learned thriftiness by watching his less-than-disciplined father lose the family fortune in the Great Depression. Fortunately, he was able to attend Princeton University on a scholarship; he wrote his senior thesis on mutual funds. After college, Bogle went straight to work for Willington Management, where he convinced his employer to start the Windsor Fund. He pulled an all-nighter and wrote the prospectus in 24 hours. Hard work took its toll, and Bogle had a heart attack at the age of 30, but against doctor's orders he kept right on working.

Bogle started promoting index funds because he believes in market efficiency—half of the market's investors will lose relative to the market's overall performance and the other half will win—so he decided that if you can't beat the market, join it. In 1976 he put together the Index Trust 500 fund, which was modeled on the S&P 500, and for the next 15 years his returns beat 85 percent of all diversified stock funds. While Bogle admits that there are select money managers who can beat index funds, the problem for the investor is finding them ahead of time. Bogle devoutly believes in watching out for the investor, and in *A Mandate for Fund Shareholders* he develops his four rules: (1) be canny, (2) be thrifty, (3) be active, and (4) be skeptical.